Low volatility masks a wide range of tail risks for 2027. AI stress, another inflation shock, fiscal concerns, elections and geopolitical escalation could all trigger sharp FX moves, while financial repression and a carry unwind add further asymmetric risks




**Chris Turner and Francesco Pesole**


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## 1 AI bust: expect unorthodox FX reactions

The resilience of the AI trade in equities has been tested of late, and a more decisive unwind could become an overarching FX driver next year. We think the impact of a major US tech selloff on currencies would depend on how far it spreads to broader US and global risk assets, whether it heavily threatens financial stability, and how it impacts the inflation backdrop. Crucially, the initial FX reaction may look very different from the medium-term move.

The dollar still retains decent safe-haven appeal by our estimates, having recovered from the 2025 “sell America” period. Yet episodes in 2026 where AI concerns hit tech stocks without materially

spilling into broader equities were accompanied by some USD underperformance. We think contained US tech-specific weakness would continue to weigh moderately on the dollar next year, with low-yielding haven currencies such as the yen, Swiss franc and euro benefiting the most.

The dynamics would be different if tech losses triggered a broader selloff. In that scenario, we would expect an initial safe-haven boost to the dollar, followed by a larger depreciation as the shock deepens and the Federal Reserve response comes into focus. The greater the threat to financial stability, the stronger the case for the Fed to provide liquidity and prevent a global financial crisis-style credit crunch, ultimately weighing on the dollar. Over the medium t
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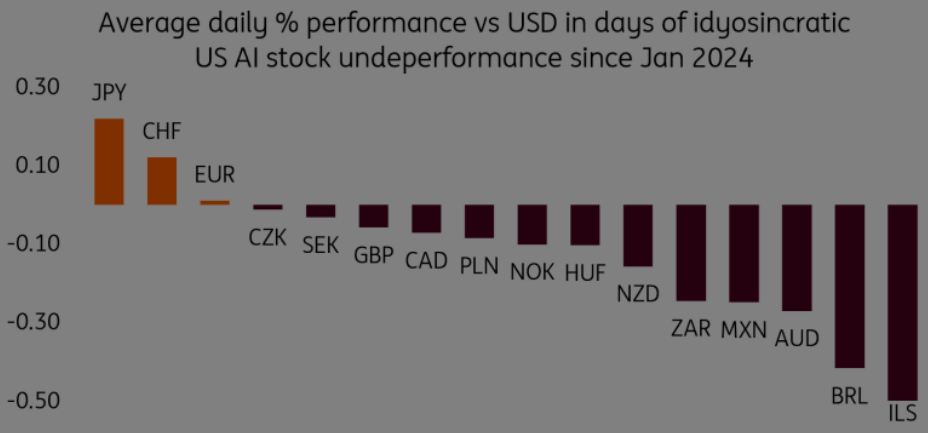
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## Exposure to an AI bust among selected currencies




Asian currencies have been excluded due to time-zone mismatch

Source: ING, Refinitiv


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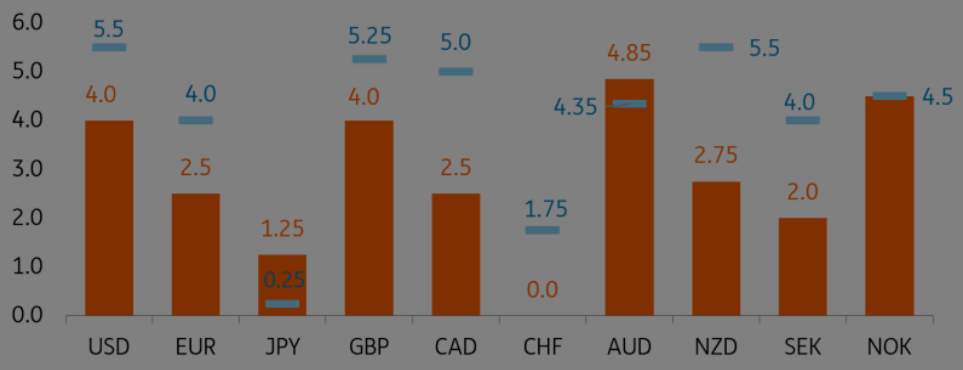
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low-yielders have tended to suffer most when Fed tightening drives global yields higher, but we would be wary of applying that playbook mechanically in 2027. The relative central bank response should be the key differentiator, with those that have tightened less so far retaining more ammunition to defend their currencies.

We still see the Norwegian krone and Swedish krona as particularly vulnerable given their low liquidity and high beta, while AUD could be a standout loser given the Reserve Bank of Australia's limited room to tighten further amid domestic vulnerabilities. EUR and JPY, by contrast, could prove more resilient than in 2022, provided the

European Central Bank and Bank of Japan respond swiftly to renewed inflation pressures.

## Current central bank rates vs latest peak





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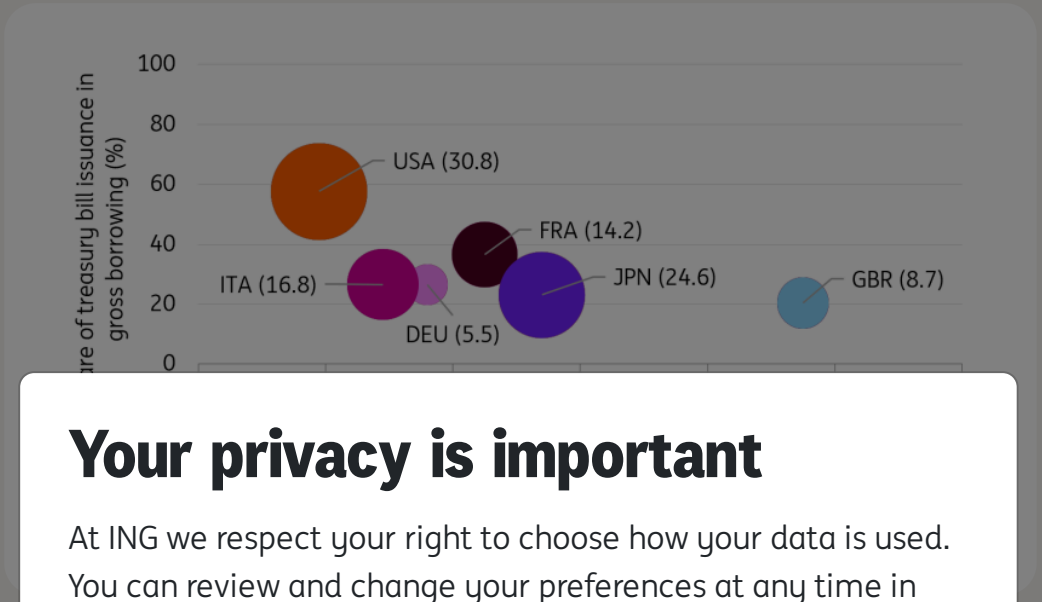
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French spreads contained in 2027. Even if French politicians fail to address investor concerns, the ECB's Transmission Protection Instrument (TPI) backstop can prevent broader contagion.

What about the US? One area of concern is that near 60% of US Treasury issuance is in the form of short-term bill issuance, as well as its large refinancing requirements. What happens if inflation spikes and the US Treasury has to pay ever-higher refinancing rates? Equally, what happens if White House policy again upends the dollar-US Treasury safe-haven correlation as was the case in March/April 2025? As we saw at the time, the breakdown in these correlations can trigger some of the most

extreme dollar selling. And the fact that investors are again running low FX hedge ratios on US assets warns of a similar setup to early 2025.

## Debt financing overview





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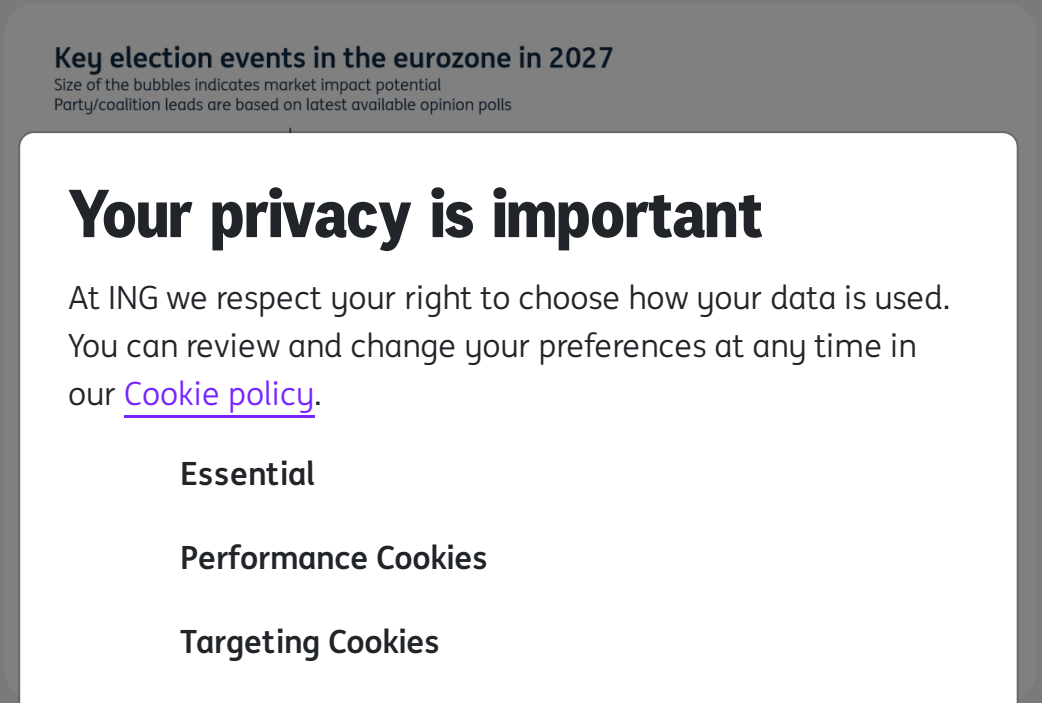
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likely to matter most. The biggest downside for the euro would come from a surprise victory by Jean-Luc Mélenchon in the April-May presidential election or a lack of a clear majority in potential parliamentary elections over the summer. To a lesser extent, a Marine Le Pen victory could also weigh on sentiment if early signals point to a more confrontational approach towards the EU than already expected.

In Germany, several state elections will be watched for signs of greater government instability or further gains by the Eurosceptic Alternative for Germany (AfD). Markets will focus particularly on the implications for Germany's reform agenda, and by extension the growth outlook.

Italian elections rank third among our political risks. Although scheduled by December, a May-June vote looks increasingly likely. Prime Minister Giorgia Meloni remains favoured to secure another mandate, potentially backed by a broader coalition. Italian asset resilience has relied on Meloni's fiscal discipline, so a surprise victory by the centre-left bloc would, in our view, pose material downside risks to BTPs and the euro.

## A busy election calendar for next year





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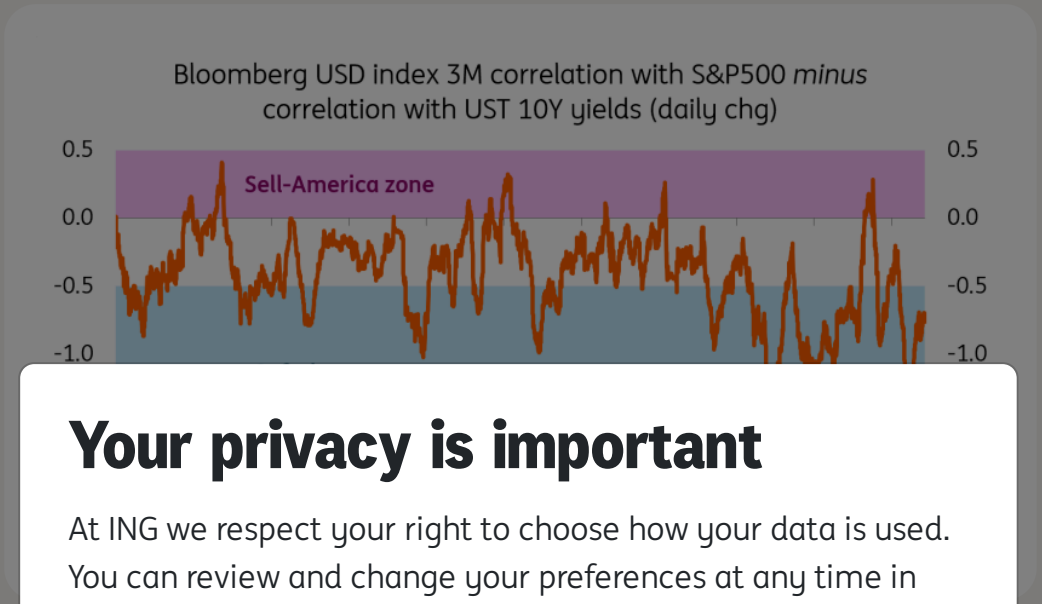
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captured Fed led to pressure on the dollar against the Swiss franc, while bitcoin and gold went bid. We had a flash of that trade again this August, when Scott Bessent's extension of longer-dated US Treasury buybacks unnerved the bond market and USD/CHF was hit hard.

Were US Treasury yields to rise sharply next year, the theme of 'financial repression' could re-emerge. Here the US Treasury could try to contain Treasury yields by providing regulatory incentives to banks to hold more Treasuries or put pressure on the Fed to intervene. Any suggestion that the Treasury would not be allowing

Treasury yields to fully compensate investors for inflation or fiscal risk would see the dollar getting slammed.

## USD is an efficient safe-haven, but things can change





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energy sector.

When looking at the popular funding currencies of the yen, we doubt slightly more aggressive BoJ tightening would be enough to trigger a big short squeeze in the yen. And speculators are actually running net long yen positions today as opposed to the large short yen positions held in summer 2024 – the last time we had a major adjustment in yen positioning.

The biggest driver of a carry trade unwind would probably come through a financial shock. Were any unwind in the AI trade to uncover stresses or imbalances in, for example, the private credit area and lead to financial distress, volatility would surge and value-

at-risk considerations could prompt indiscriminate deleveraging. We haven't really seen much financial distress since the Silicon Valley Bank crisis of 2023.

A big carry trade unwind would be yen and Swiss franc positive, while negative for the high-yielding activity currencies.

## 7 Geopolitical blowout: more than one front to watch

There are three major fronts to watch in terms of geopolitical tail risks next year. All of these would see the dollar as the big outperformer.


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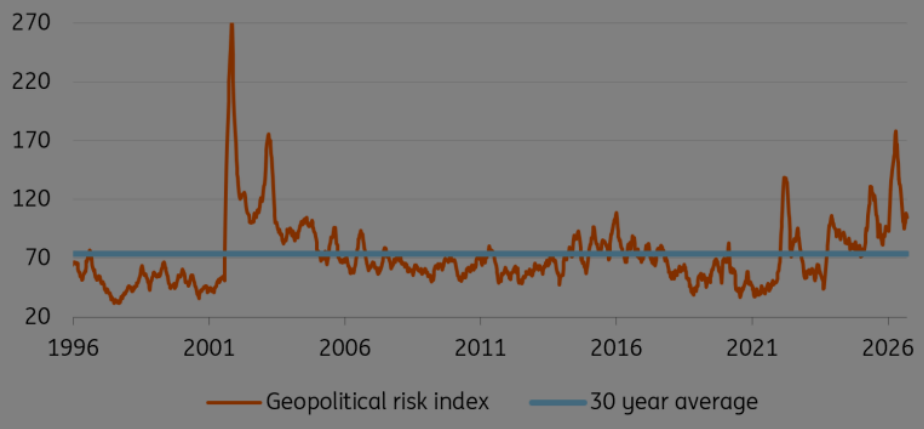
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A sharp escalation in geopolitical tensions in East Asia would put Asian currencies under heavy pressure, with AUD and NZD also vulnerable as liquid proxies. European currencies would be relatively more insulated from the initial shock. Regional risks could also include US-China trade and technology tensions.

## Are geopolitical risks the new normal?




Source: ING, Macrobond

FX Outlook 2027


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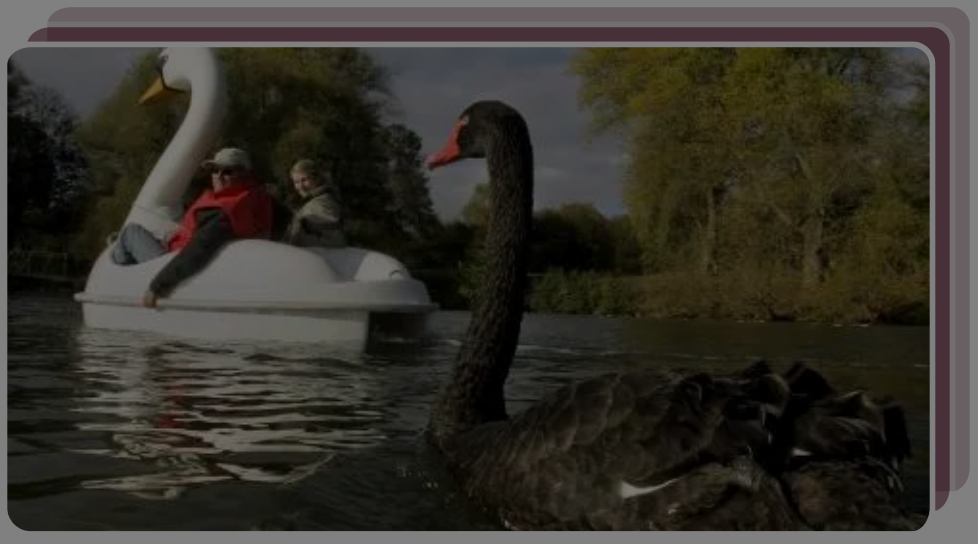
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